NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)
PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 24.05.2023 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)/1/230/AMR/2023		230	Malaxmi Properties Private Limited (Fourth Transferor Company) and Malaxmi Property Management Services Private Limited (Fifth Transferor Company)

ORDER

Mr.Ramana Reddy, PCS present. Orders pronounced. CP(CAA)/1/230/AMR/2023 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA)/1/230/AMR/2023
Connected with
CA (CAA)/1/230/AMR/2023

In the matter of Section 230 to 232 of the Companies Act, 2013 Read with Rule 15 and 16 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016

AND

In the matter of Scheme of Amalgamation of between In the matter of **Scheme Of Amalgamation** between **M/s. Malaxmi Infra Ventures (India) Private Limited (Transferee Company), M/s.Malaxmi Property Ventures Private Limited (First Transferor Company), M/s.Tejaswini Projects Private Limited (Second Transferor Company), M/s.Raicherla Power Private Limited (Third Transferor Company), M/s.Malaxmi Properties Private Limited (Fourth Transferor Company) and M/s.Malaxmi Property Management Services Private Limited (Fifth Transferor Company)** and their **Respective Shareholders and Creditors.**

M/s. Malaxmi Properties Private Limited,
(CIN: U45200AP2005PTC045541)
Rep. by its Director Mr. Karanki Nagaraju (DIN No. 03629456),
Having its registered office at Madhu Malaxmi Chambers,
D. No. 32-9-17, 17A & 32-2-6, A S Rama Rao Road,
Mogalrajpuram, Vijayawada, Andhra Pradesh - 520010.

... 1st Petitioner/4th Transferor Company

M/s. Malaxmi Property Management Services Private Limited,
(CIN: U74140AP2005PTC047976)
Rep. by its Director Mr. Tirumal Srinivas Myneni (DIN:03429948),
Having its registered office at Madhu Malaxmi Chambers,
D. No. 32-9-17, 17A & 32-2-6, A S Rama Rao Road,
Mogalrajpuram, Vijayawada Andhra Pradesh - 520010.

... 2nd Petitioner /5th Transferor Company

Date of Order Pronounced on:24.05.2023

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Petitioners: Mr. Ramana Reddy, PCS

ORDER
(Per: Justice Telaprolu Rajani, Member Judicial)

1. The present Company Petition is filed by **Malaxmi Properties Private Limited,** 1st Petitioner/4th Transferor Company and **Malaxmi Property Management Services Private Limited**, 2nd Petitioner/5th Transferor Company under Sections Section 230 to 232 of the Companies Act, 2013 Read with Rule 15 and 16 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 seeking to sanction the Scheme of Amalgamation (the Scheme for short) between M/s. Malaxmi Infra Ventures (India) Private Limited (Transferee Company), M/s.Malaxmi Property Ventures Private Limited (1st Transferor Company), M/s.Tejaswini Projects Private Limited (2nd Transferor Company), M/s.Raicherla Power Private Limited (3rd Transferor Company), M/s.Malaxmi Properties Private Limited (4th Transferor Company) and M/s.Malaxmi Property Management Services Private

Limited (5th Transferor Company) and their Respective Shareholders and Creditors with effect from the appointed date i.e., 01.04.2022. 1st & 2nd Petitioner Companies registered offices are situated at Andhra Pradesh.

2. Briefly, the facts are as follows:

i. The 1st Petitioner/4th Transferor Company was originally incorporated under the name and style "Raicherla Realtors Private Limited" under the companies Act, 1956 on 04.03.2005. Subsequently the name of the Company was changed from "Raicherla Realtors Private Limited" to "Malaxmi Properties Realcon Private Limited and again the name was changed to **Malaxmi Properties Private Limited** as a private limited company on 15.09.2022. The Authorized Share Capital is Rs.2,00,00,000/- divided into 20,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,62,00,000/- divided into 16,20,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of proprietors of estates, mines, lands, buildings, factories, warehouses, concessions, privileges, licenses, easements or any other interest in or with respect to any property including flats, main sonettes, dwelling houses, estates, shops, offices and clubs and to develop, sell, let on lease, hire or dispose of the same on any system and for these purposes to purchase, take on lease or otherwise acquire and hold any lands, estates or buildings of any tenure or description wherever situate, rights or interests therein or

connected therewith and to prepare building sites, construct, reconstruct, pull down, alter, improve, decorate, furnish and maintain flats, etc.

ii. The 2nd Petitioner/2nd Transferor Company was incorporated as a private limited company on 08.11.2005. The Authorized Share Capital is Rs.1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.1,00,000/- divided into 10,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business or vocation of acting as advisors and consultants and render services on all matters relating to purchase, sale, development, exchange, lease, hire, whether for investment or sale of real estates of all kinds and to act as advisors, consultants on all matters relating to development, construction, building, erection, demolition, re-erection, alteration, repair, remodeling or any other work in connection with any building, building scheme, roads, high ways, and for such purpose to prepare estimates, designs, plans, specifications or models thereof and to provide management consultancy services to individuals, firms, companies, bodies corporate, societies, undertakings, organizations, institutions, associations, government, local authorities and others in relation to building of township, etc.

iii. According to the 1st & 2nd Petitioner Companies, the Scheme of Amalgamation of the Transferor Companies into the Transferee Company, results in consolidation of business of all the companies

in one entity, thereby strengthening the position of the amalgamated entity by enabling it to harness and optimize the synergies, which is in the best interest of both the companies and their respective shareholders and also reduces the administrative costs, overheads & other expenses, administrative and procedural work and also reduces administrative inefficiencies by reducing duplication of functions.

iv. The Board of Directors of both the Petitioner Companies approved the scheme of amalgamation in their respective Board Meetings held on 03.11.2022. The appointed date is 01.04.2022. The shareholders and creditors also approved the said scheme of amalgamation.

v. The Tribunal, by order dated 01.04.2023 directed the Petitioner Companies to dispense with the meetings of the Shareholders and Creditors of the Petitioner Companies and directed the statutory authorities to file their representations, if any.

vi. The scheme of Amalgamation was approved by the board of directors of both the Companies.

3. As per directions of this Tribunal vide order dated 01.04.2023, the Petitioner Companies issued notices to the Statutory Authorities.

4. Notices were served on Central Government through the Regional Director (SER), Registrar of Companies (RoC), Andhra Pradesh,

Official Liquidator, Hyderabad, and Income Tax Authorities for intimating the Scheme of Amalgamation.

5. Regional Director (RD), Ministry of Corporate Affairs and Official Liquidator (OL) filed their reports in response to the notice issued to them. RD received a letter No. No: ROCV/MNR/Amal/230-232/47976 & 45541/2023/3054 dated 07.03.2023 from the Registrar of Companies, Andhra Pradesh. Based on the report of the RoC, Andhra Pradesh the RD sought this Tribunal to direct the Petitioner Companies to preserve its books of accounts & papers & records and not to dispose of without prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013; to ensure statutory compliance of all applicable laws and also to specify that sanctioning of the present scheme shall not absolve the Applicant Company from any of its statutory liabilities in any manner; and to direct the petitioner companies involved in the scheme to comply with rule 17(2) of "The Companies (Compromise, Arrangement and Amalgamation) Rules 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the Office of RoC, Andhra Pradesh by the Petitioner companies. The RD sought this Tribunal to direct the Transferee Company to file an application with the Registrar of Companies, indicating the revised authorised capital and proof of paying prescribed fees due on revised capital, after setting off the fee already paid by the Transferor Companies. Letter dated 20.02.2023, was issued to the Additional Commissioner of Income Tax, Vijayawada but till date no reply/comments in the matter have been submitted by

the Income Tax Department, hence, to direct the Petitioner Companies to furnish an undertaking that, if any demand arises in future with respect to Transferor Companies, Transferee Company will pay such dues to the Income Tax Authorities as per law.

Hence, from the above report of the RD it can be understood that there are no tenable objections raised.

6. The Official Liquidator (OL) made certain observations in his report filed on 27.02.2023 which are as follows:

(a) That, the First, Second & Third Transferor companies and Transferee Company come under the jurisdiction of National Company Law Tribunal, Hyderabad bench and hence, this Hon'ble Tribunal may sanction the scheme subject to the orders of the National Company Law Tribunal, Hyderabad bench against the CP(CAA)/13/230/HDB/2023, which was filed by the First, Second, Third and Transferee Companies, as well.

(b) That, Clause 8.1 of Part-"B" of the Scheme seeks to protect the employees of the Transferor Companies who are in service on the date of sanction of the Scheme by this Tribunal. Hence, this Tribunal may be pleased to direct the Fourth and Fifth Transferor Companies to submit an undertaking to this Tribunal to the effect that there would be no retrenchment of any employee who were in service as on the Appointed Date (i.e., 01.04.2022) as well.

(c) That, the Fourth & Fifth Transferor Companies are loss making companies getting merged into profit making Transferee Company (as per the balance sheets as at 31.03.2022 i.e., appointed date as at 01.04.2022) along with other three Companies. Hence, the Income Tax implication due to merger needs to be examined by the Income Tax Department and Resultant entity should comply with all direct and indirect Tax implications.

7. The Petitioner Companies filed joint memos on 08.03.2023 & 28.04.2023 respectively undertaking to comply with the objections raised by the OL & RD. There are no further objections raised by the OL & RD.

8. Considering the entire facts and circumstances of the case and on perusal of the Scheme and also reports of the Regional Director, Official Liquidator and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and does not violate any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Hence, ordered.

9. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme of Amalgamation is enclosed at Page No.171 to 243 of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective

Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2022 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order shall not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them, including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

10. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA)/1/230/AMR/2023 is stands disposed of.

Sd/- dated 24.05.2023
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu